practices. Though there are many variants of planning the most important one is on the basis of the type of economic organisation (i.e. state economy, mixed economy). During the course of evolution, planning has been classified into two types, based upon the type of economic system the economy has:

## 1. Imperative Planning

The planning process followed by the state economies (i.e the socialist or communist) is known as the imperative planning. Such planning is also called as ***directive* or *target planning.*** Such planning had two main variants. In the Socialist system, all economic decisions were centralised in the hands of the state with collective ownership of resources (except labour). In the Communist system (i.e. China of past) all resources were to be owned and utilised by the state (including labour, too). Thus, communist China was the purest example of such planning. In the case of Soviet Union a little bit of 'market' did exist—even after the collectivisation of agriculture was enacted by Stalin in 1928 only 94 per cent of Soviet peasants could be included in the process.[12] Basic features of such planning are as under:

(i) *Numerical (i.e. quantitative) targets* of growth and development are set by the plans. As for example, five lakh tonnes of steel, two lakh tonnes of cement, 10,000 kms. of national highways, 5000 primary schools, etc. will be produced/built in the coming 5 or 6 years.

(ii) As the *state* controls the ownership rights over the resources, it is very much possible to realise the above-cited planned targets.

(iii) Almost *no role for market,* no price mechanism with all economic decisions to be taken in the centralised way by the state/Government.

(iv) No private participation in the economy, only state played the economic role.

The ***Command Economies*** followed this kind of planning. That is why such economies are also known as the ***Centrally Planned Economies*** — the USSR, Poland, Hungary, Austria, Romania, etc. and finally China. Basically, it was the migration of some of the great economists from the